How To Play Cornerstone: The Preeminent Wealth Creating Tool for Your Passive Income Portfolio

This E-Guide on living financially free through dividends in the stock market- particularly with using Cornerstone- will be as brief as possible in an attempt to get straight to the point and actually impact your life NOW.

I have a degree in finance and 20 years of investing experience. But I am NOT a financial advisor OR licensed broker. Rather, I am just a man who has found a way to live financially free, and I am simply sharing the information I have gathered over the years of navigating the market with others who have a burning desire to get ahead.

Enjoy!

Chapter 1:

Why Cornerstone (CLM & CRF)?

As an investor, it is nearly impossible to beat the indexes, consistently. In fact, it is a widely known fact in the finance industry that 90% of fund managers cannot beat the S&P 500 (SPY) index, over time.

So, why invest in anything else? You can try to build your own stock portfolio that aims to replicate the indexes. But, with so many moving parts involved, like headline risks associated with individual companies that could cause them to derail on any given day, it's hard to grow your account consistently.

Plus, when you spread your money around into too many stocks or funds, you lose the power of compounding. After all, it is a lot easier to make $1,000 on $10,000 invested than it is to make $1,000 on $1,000 invested.

This is why I choose Cornerstone as my primary investment vehicle, because it mirrors the indexes, and I can therefore afford to concentrate larger amounts of money behind it and still sleep at night. CLM basically owns the companies within the S&P 500, and CRF owns the companies that make up the Nasdaq.

These are the two premier benchmarks to beat, and Cornerstone does a fine job in keeping up with them. In fact, Morningstar demonstrates how CLM beat the S&P 500 over the last 10 years.

(How CLM Beats SPY & SCHD)

But if other funds try to mirror the S&P, why not just buy them? Because the dividends from Cornerstone act as qualifying income to banks!

These dividends not only allow you to live financially free by acting as a synthetic paycheck that pays your bills each month, but they also make you eligible for loans outside of brokerage/margin accounts.

Usually, you would have to have a job or consistent paycheck of some kind in order to qualify for loans. Now, through dividends from Cornerstone, you can live off dividends while being able to navigate the world freely.

Whether you need to pay bills, qualify for a mortgage loan, or buy a car, all of these life necessities are possible with the dividends and qualifying income that Cornerstone provides.

You can even reduce your tax burden, through Cornerstone.

Cornerstone classifies some, if not all (depending on market conditions), of their dividends as ROC (return of capital), ***which provides tax benefits***.

Some people are quick to bash return of capital, as if it is simply your own money being returned to you, which it is!

Except, there is good ROC and bad ROC. When the NAV (net asset value) is growing, ROC is good. Conversely, when the NAV is declining, ROC is bad.

Again, Morningstar supports the notion that CLM has good ROC, as the fund and its NAV gained tremendously in value over the 10-year timeframe shown.

This is where the 21% dividend comes from. Return of capital! Not the underlying holdings within Cornerstone, who may or may not pay dividends, not leverage, but simply return of your own capital.

The very reason why the divine vehicle that is Cornerstone is not a sham, or some sort of Ponzi scheme, is because there is real value through the holdings they own, which are renowned blue-chip companies in the S&P 500 and Nasdaq.

Let's discuss more reasons why I choose Cornerstone as my premier investment vehicle.

Chapter 2:

The Famous "Corporate Sponsored" DRIP Program

So, Cornerstone (C's for short) matches the indexes, which allows you to concentrate more money behind the position without worry of headline risk.

This creates a positive compounding effect that improves your performance to compete with the benchmarks.

It also qualifies for loans to banks outside of your broker, which lessens reliance on a 9-5 job.

But what else does Cornerstone do that is so special, for which an E-Guide must be written in order to better understand it?

So glad you asked! The reason why the C's are so attractive, and are rated 4-stars on Morningstar, is because of their special DRIP program.

The Corporate Sponsored DRIP

This program allows you to reinvest your dividends NOT at the market price, like most funds, but at the NAV price instead, every month!

The "Net Asset Value" is the true value of the fund. The "market price" is whatever the public deems the price to be, which is often inefficient and overinflated.

So, reinvesting the dividends at NAV can be a huge advantage. On average, the market price is up to 30% higher than the NAV price of the C's.

Whatever the difference in market price is over the NAV is called the "premium".

This means that every month, your dividends are reinvested (or dripped) back at NAV for 30% + average gains! I know, I thought it was too good to be true myself. You also, obviously, improve your yield each month as you reinvest dividends back at a 21% yield.

But, upon calling my brokerage house and inquiring myself (and I had to ask around, some people did not know) I found out the special DRIP was indeed, real.

The rule is (at least it was), that you have to CALL for this privilege. You cannot just toggle DRIP in your brokerage account.

Investors are pushing to change this inconvenience, but make sure to call your broker and verify if you got the right DRIP anyway. For 6 months my broker had me in the wrong DRIP program at market price, and it cost me $1,000's.

Thankfully, they offered compensation or a favor in the future. I took the favor so that I can negotiate my margin rate down again, if need be, which is more valuable down the line than taking more money up front.

So, I asked if I could keep this "ace up my sleeve" for leverage on future negotiations, and they said yes. They record all conversations and will pull the phone call, if need be, too. They have for me numerous times before.

Anyway, once you get the DRIP in your account each month, it is your money, do with it as you please!

Some people sell for the automatic gain each month, using it as a glorified trading vehicle.

I prefer to hold, and not lose the income or pay taxes. It all depends on your goals and preferences.

Just make sure that you always retain at least 3 shares of Cornerstone before the Rights Offering (RO)!

If you sell all of your shares, then you lose the special DRIP status, and have to reapply again to qualify for the CS DRIP.

Chapter 3

How to Play the Rights Offering

You have made it to the long-awaited section of the E-Guide!

Yes, Cornerstone invests in the benchmarks, which improves performance and compounding ability. They also have a rare DRIP program, which boosts profits and your dividend yield considerably each month.

But, how do we keep our investments from going to zero, over time, as the chart shows should inevitably happen in Cornerstone?

This is everyone's question, and it is a fair one. I had the same question when I entered into the fund.

The answer lies in the "Rights Offering". Every year, most closed-end funds do rights offerings.

They allow the company to raise money while providing investors with a cheaper share price for entry, as well as a "bump" or improvement to the NAV, making the RO accretive to NAV.

The key to playing the RO is to simply wait for the company to announce the RO, sell all but 3 shares, and then buyback after the company says it is "done" with the RO. Usually they will say something like, ‘we are done, and it was a success'.

That's it! You don't have to make this event more complicated than it is. Sell at the red arrow each year, which is where the company announces its RO ("usually" this is when the NAV reaches a 30% + premium), and buyback at the green arrow after the significant price drop, (seen in the chart above), when either the NAV is reached (or close to), or when the company announces that the RO is over.

People always ask, first, when does the RO usually occur? My answer, just by looking at the chart, is spring time. However, in some years they skip the RO, or postpone it to a different date in the future. For example, once the RO was done around October.

So, the next question people ask is, how do you know when they will announce it if we are already in spring?

The answer is usually derived from the NAV premium. As I alluded to above, when the NAV premium reaches 30% +, the RO is "usually" announced. However, investors have seen the NAV premium rise as high as 50% some years. So, it all depends on what Cornerstone decides to do.

Ultimately, it is just up to us investors to watch the press release section closely on their website.

(Click link to see press release section of Cornerstone's website)

There will also be a headline that comes into your brokerage account, announcing the RO. But I own so many companies that the RO news usually gets lost in the sea of other news announcements from my holdings.

So, I watch their website as well as the Seeking Alpha "comments section" to get brought up to speed on all pertinent news related to Cornerstone.

Investors subsequently ask at this juncture, should I just wait for the RO then, and buy after?

I always say, why wait to buy? You are going to collect income each month, ***and then the company will tell you when to sell.***

It is better than market timing, which is nearly impossible and discouraged by Warren Buffet. The market never tells you when the musical chairs are going to stop, at which point you must sell.

Cornerstone, on the contrary, TELLS you when to SELL. If you remember, the RO happens around May (spring time). Well, one old adage in the stock market is "sell in May, go away".

Therefore, it would seem that Cornerstone tries to time the market tops for you, by telling you to sell in May and go away (at least until the RO is completed, of course).

By the way, we are in May right now. But, the NAV premium of Cornerstone is not at 30% yet. So, this is why we haven't seen the RO news yet, in my opinion.

Regardless, when the RO is complete, you buy back your shares after the drop near the NAV, no matter what the overall stock market is doing.

Rinse and repeat this process every year!

Conclusion

You are now armed and ready to play Cornerstone!

Even if you did nothing for the RO, and took the pain early on, over time you would still come out on top, as the dividend ultimately pays back all losses (even if the dividend gets cut multiple times down to 10%, you still cash flow in 10 years).

However, at the end of the day, this E-Guide should ensure that you get the most performance out of Cornerstone possible, which when played properly, can be the preeminent tool in your passive income portfolio that brings you closer towards your goals of financial freedom.